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Case Number: 21STCV11183 Hearing Date: June 30, 2026 Dept: 224

Schlueter-Beckner v. Sure Market, LLC et al.,

TENTATIVE RULING

Defendant's Motion for Attorneys' Fees and Motion to Recover Costs and Expert Fees are DENIED. Plaintiff's Motion to Strike or Tax Defendant's Memorandum of Costs is GRANTED.

Introduction

On March 23, 2021, Plaintiff filed the Complaint in the instant action.

On August 18, 2025, jury trial took place. On September 10, 2025, the jury returned a unanimous defense verdict on Plaintiff's remaining FEHA causes of action for disability discrimination and retaliation, and the Court thereafter entered judgment that Plaintiff take nothing.

On December 1, 2025, Defendant filed its Memorandum of Costs, seeking a total of $53,097.07 in costs and expert witness fees.

On December 2, 2025, Defendant filed its Motion to Recover Costs and Expert Fees pursuant to Government Code section 12965, subdivision (c)(6), and Code of Civil Procedure section 998, seeking $53,097.07.

On December 18, 2025, Plaintiff filed the instant Motion to Strike or, in the Alternative, to Tax Defendant's Memorandum of Costs.

On January 12, 2026, Defendant filed its Motion for Attorneys' Fees pursuant to Government Code section 12965, subdivision (c)(6), seeking $902,341.50.

On June 10, 2026, Plaintiff filed an Opposition to Defendant's Motion for Attorneys' Fees.

On June 15, 2026, Defendant filed a Reply to Defendant's Motion for Attorneys' Fees.

Legal Standard

Attorney’s Fees

“[A]s a general rule, attorney fees are not recoverable as costs unless they are authorized by statute or agreement.” (People ex rel. Dept. of Corporations v. Speedee Oil Change Systems, Inc. (2007) 147 Cal.App.4th 424, 429.)

For contracts actions, “where the contract specifically provides that attorney's fees and costs, which are incurred to enforce the contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney’s fees in addition to other costs.” (Civ. Code § 1717(a).) “[T]he party prevailing on the contract shall be the party who recovered a greater relief in the action on the contract.” (Id.)

“The determination of what constitutes a reasonable fee generally ‘begins with the ‘lodestar,’ i.e., the number of hours reasonably expended multiplied by the reasonable hourly rate....’” “[T]he lodestar is the basic fee for comparable legal services in the community; it may be adjusted by the court based on factors including, as relevant herein, (1) the novelty and difficulty of the questions involved, (2) the skill displayed in presenting them, (3) the extent to which the nature of the litigation precluded other employment by the attorneys, (4) the contingent nature of the fee award....” (Graciano v. Robinson Ford Sales, Inc. (2006) 144 Cal.App.4th 140, 154.)

“In determining the lodestar amount, a prevailing party generally may not recover for work on causes of action on which the party was unsuccessful” except in some cases where are amounts are so intertwined that it would be impracticable to separate them out. (Mann v. Quality Old Time Service, Inc. (2006) 139 Cal.App.4th 328, 342; Graciano v. Robinson Ford Sales, Inc. (2006) 144 Cal.App.4th 140, 157.) " ‘Attorneys fees need not be apportioned between distinct causes of action where plaintiff's various claims involve a common core of facts or are based on related legal theories."'" Graciano v. Robinson Ford Sales, Inc. (2006) 144 Cal.App.4th 140, 159.) “[A]ttorney fees need not be reduced for work on unsuccessful claims if the claims ‘are so intertwined that it would be impracticable, if not impossible, to separate the attorney's time into compensable and noncompensable units.’" (Mann v. Quality Old Time Service, Inc. (2006) 139 Cal. App. 4th 328, 342.)

In setting the hourly rate for an attorney fees award, courts are entitled to consider the rate of “‘fees customarily charged by that attorney and others in the community for similar work.’" (Bihun v. AT&T Information Systems, Inc. (1993) 13 Cal. App. 4th 976, 997, overruled on other grounds by Lakin v. Watkins Associated Indus. (1993) 6 Cal. 4th 644, 664.) “‘A fee request that appears unreasonably inflated is a special circumstance permitting the trial court to reduce the award or deny one altogether.” (Chavez v. City of L.A. (2010) 47 Cal.4th 970, 990.)

Recover/Tax Costs

A prevailing party in litigation may recover costs, including but not limited to filing fees. (Code of Civ. Proc. §1033.5, subd. (a)(1).) “Prevailing party” includes the party with a net monetary recovery, a defendant in whose favor a dismissal is entered, a defendant where neither plaintiff nor defendant obtains any relief, and a defendant as against those plaintiffs who do not recover any relief against that defendant. (Code Civ. Proc., § 1032, subd. (a)(4).)

Under Code of Civil Procedure section 1033.5, subdivision (c)(2), allowable costs are only recoverably if they are “reasonably necessary to the conduct of the litigation.” Even mandatory costs, when incurred unnecessarily, are subject to section 1033, subdvision (c)(2). (Perko’s Enterprises, Inc. v. RRNS Enterprises (1992) 4 Cal.App.4th 238, 245.)

The memorandum of cost is a verified statement by the party, attorney, or agent that the costs are correct and were necessarily incurred in the case. (Cal. Rules of Court, rule 3.1700(a)(1).) If the items on a verified cost bill appear proper charges they are prima facie evidence that the costs, expenses, and services listed therein were necessarily occurred. (Oak

Grove School Dist. v. City Title Ins. Co. (1963) 217 Cal.App.2d 678, 698 (Oak Grove).) “The trial court’s first determination is whether the statute expressly allows the particular item and whether it appears proper on its face; if so, the burden is on the objecting party to show the costs to be unnecessary or unreasonable.” (Foothill-DeAnza Community College Dist. v. Emerich (2007) 158 Cal.App.4th 11, 29 (Foothill-DeAnza).) The burden of showing that an item is not properly chargeable or is unreasonable is upon the party challenging the costs. (Wilson v. Nichols (1942) 55 Cal.App.2d 678, 682-683 (Wilson).)

Where the items are properly objected to, they are put at issue, and the burden of proof is on the party claiming them as costs. (Oak Grove, supra, 217 Cal.App.2d at p. 698.) In other words, the burden is initially on the objecting party to show that the costs are not proper on their face. Then, the burden shifts to the moving party to justify its costs and expenses. If the costs are not facially proper, that is, the costs are not expressly allowed under a statute, then the moving party must justify the requests for the expenses.

Discussion

The threshold inquiry common to all three motions – Defendant's Motion for Attorneys' Fees, Defendant's Motion to Recover Costs and Expert Fees, and Plaintiff's Motion to Strike or Tax Costs – is whether Defendant, as the prevailing party in this FEHA action, may recover its attorney's fees and costs from Plaintiff. The answer turns on a single statutory predicate, and because Defendant cannot satisfy it, all three motions resolve in Plaintiff's favor.

In general, the prevailing party is entitled as a matter of right to recover costs for suit in any action or proceeding. (Code Civ. Proc., §1032(b); Santisas v. Goodin (1998) 17 Cal.4th 599, 606; Scott Co. of Calif. v. Blount, Inc. (1999) 20 Cal.4th 1103, 1108.)¿

At the same time, the California Fair Employment and Housing Act, enacted at Government Code sections 12900-12996, provides that “[i]n civil actions brought under [FEHA], the court, in its discretion, may award to the prevailing party . . . reasonable attorney's fees and costs . . . except that, notwithstanding [a different Code section not at issue here], a prevailing defendant shall not be awarded fees and costs unless the court finds the action was frivolous, unreasonable, or groundless when brought, or the plaintiff continued to litigate after it clearly became so.” (Gov. Code, § 12965, subd. (b).)¿

“Government Code section 12965, subdivision (b), governs cost awards in FEHA actions, allowing trial courts discretion in awards of both attorney fees and costs to prevailing FEHA parties.” (Williams v. Chino Valley Independent Fire District (2015) 61 Cal.4th 97, 99.) Although Code of Civil Procedure section 1032, subdivision (b) broadly mandates that costs be awarded to the prevailing party in civil actions, our Supreme Court in Williams made abundantly clear that Government Code section 12965(b) is an “express exception to Code of Civil Procedure section 1032(b)” in actions governed by FEHA. (Id. at 109.)¿ An "unsuccessful FEHA plaintiff should not be ordered to pay the defendant's fees or costs unless the plaintiff brought or continued litigating the action without an objective basis for believing it had potential merit." (Williams, at pp. 99-100, 115.) Because "even ordinary litigation costs can be substantial," and because the possibility of their assessment "could significantly chill the vindication of employees' civil rights," this asymmetrical standard governs both costs and fees in FEHA actions. (Id. at p. 114.)

It is undisputed that Plaintiff’s claims are FEHA based such that the section 12965(b) express exception should apply. However, as Plaintiff asserts, under section 12965(b), a successful FEHA defendant is awarded costs only if “the action was frivolous, unreasonable, or groundless when brought, or [if] the plaintiff continued to litigate after it clearly became so.” (Gov. Code, § 12965, subd. (b).) If neither of these is the case, Defendants may not be awarded their fees or costs.

In determining whether an action was frivolous, unreasonable, or groundless such that an award of costs is appropriate, “it is important that a . . . court resist the understandable temptation to engage in post hoc reasoning by concluding that, because a plaintiff did not ultimately prevail, his action must have been unreasonable or without foundation. This kind of hindsight logic could discourage all but the most airtight claims, for seldom can a prospective plaintiff be sure of ultimate success.” (Rosenman v. Christensen, Miller, Fink, Jacobs, Glaser, Weil, & Shapiro (2001) 91 Cal.App.4th 859, 866 [analyzing identical language applicable to Title VII claims]; see also Williams, supra, 61 Cal.4th at pp. 113 [embracing the “asymmetrical” nature of section 12965(b)’s costs provision in light of the Legislature’s express intent “to encourage persons injured by discrimination to seek judicial relief”].)

On the current record, the Court cannot find that Plaintiff's action was frivolous, unreasonable, or groundless when brought, or that Plaintiff continued to litigate after it clearly became so. Here, Defendant moved for a directed verdict on the remaining FEHA disability discrimination and retaliation claims, and the Court denied that motion in its entirety, submitting both claims, and the question of punitive damages, to the jury. A directed-verdict motion may be granted only where, indulging every legitimate inference in the plaintiff's favor and disregarding conflicting evidence, there is no substantial evidence to support a verdict for the plaintiff. The Court's denial of that motion was thus an express determination that Plaintiff had introduced substantial evidence from which a reasonable jury could find in his favor, and, as to punitive damages, evidence from which a jury could find malice, oppression, or fraud by clear and convincing evidence. A claim that the Court found sufficient to reach the jury on both liability and a heightened punitive-damages showing is, by definition, not one that was "objectively without foundation." (Williams, supra, 61 Cal.4th at pp. 99-100, 115.)

Nor do Defendant's arguments establish frivolousness. Defendant cites to Plaintiff's discovery admissions that Sure Market granted his requested accommodations, but those admissions bear on the failure-to-accommodate and failure-to-engage theories Plaintiff dismissed – they do not negate the tried claims, which turned on whether Plaintiff's disability or his use of a granted accommodation was a substantial motivating reason for his termination. An employer may grant an accommodation and nonetheless act unlawfully in terminating an employee for using it. Defendant's reliance on the swift, unanimous defense verdict fares no better. The duration of jury deliberations and the fact that Plaintiff did not prevail do not establish whether the action had an objective basis when litigated. “Seldom can a prospective plaintiff be sure of ultimate success,” and all but the most airtight claims would be discouraged. (Williams, supra, 61 Cal.4th at pp. 113, 115; Rosenman v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro (2001) 91 Cal.App.4th 859, 866 [cautioning courts to "resist the understandable temptation to engage in post hoc reasoning"].)

Defendant further fails to indicate when the claims “clearly became” groundless. Plaintiff's progressive narrowing of his claims and his dismissal of Wang as an individual defendant reflect responsible litigation conduct. FEHA imposes no individual liability on nonemployer individuals for discrimination or retaliation, so the dismissals reflect compliance with the law, not a concession that the claims against the employer lacked merit. (Reno v. Baird (1998) 18 Cal.4th 640, 663; Jones v. Lodge at Torrey Pines Partnership (2008) 42 Cal.4th 1158, 1173) The unaccepted August 29, 2023 section 998 offer cannot serve as the trigger, because FEHA's fee-shifting limitation applies “notwithstanding Section 998,” and an unbeaten offer establishes only that Plaintiff did not prevail, which Williams squarely holds is insufficient. The exclusion of Plaintiff's retained expert does not trigger groundlessness either, as that expert addressed emotional-distress damages rather than liability, and in all events the claims survived a directed-verdict motion brought after the exclusion. In short, there is no identifiable moment at which Plaintiff's claims became clearly devoid of evidentiary support. Fees and costs therefore cannot be awarded from inception, from the date of the section 998 offer, or from the commencement of trial.

Because Defendant has not demonstrated, and cannot demonstrate on this record, that Plaintiff's FEHA action was frivolous, unreasonable, or groundless when brought or that Plaintiff continued to litigate after it clearly became so, Defendant is not entitled to recover attorney's fees under Government Code section 12965 subdivision (c)(6). Nor may Defendant recover costs or expert witness fees under that provision.

“In amending [FEHA] to authorize discretionary awards of attorney fees and costs, our Legislature, like Congress before it, sought ‘to encourage persons injured by discrimination to seek judicial relief.’ [Citation.]” (Williams, supra, (2015) 61 Cal.4th at p. 112.) In order to vindicate the intent of our Legislature, the striking of costs and fees in this case is appropriate.

Conclusion

Accordingly, Defendant's Motion for Attorneys' Fees and Motion to Recover Costs and Expert Fees are DENIED. Plaintiff's Motion to Strike Defendant's Memorandum of Costs is GRANTED.

Given this disposition, the Court need not reach the parties' alternative disputes regarding the reasonableness of Defendant's claimed lodestar rates, apportionment among FEHA and non-FEHA claims, or the item-by-item taxability of individual cost entries under Code of Civil Procedure section 1033.5.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative as the final order, or take the matter off calendar at its discretion.